

Time and form of recoverability. This means we need to know when and in which form the assets will come back, i.e., in the form of cash, services, raw materials, etc.

Any effective return on loans and advances. The loans and advances the company gives must earn some profit or interest or benefit to the company. The return must be decent, at least around the fixed deposit rate of return for one-time recoverable.



These questions give a very good understanding of the loans and advances for the company and the health of the company.

In the next section, we learn about current investments.